

Application of Fairness Theory to Service Failures and Service Recovery

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This article presents a fairness theory-based conceptual framework for studying and managing consumers' emotions during service recovery attempts. The conceptual framework highlights the central role played by counterfactual thinking and accountability. Findings from five focus groups are also presented to lend further support to the conceptual framework. Essentially, the article argues that a service failure event triggers an emotional response in the consumer, and from here the consumer commences an assessment of the situation, considering procedural justice, interactional justice, and distributive justice elements, while engaging in counterfactual thinking and apportioning accountability. More specifically, the customer assesses whether the service provider could and should have done something more to remedy the problem and how the customer would have felt had these actions been taken. The authors argue that during this process situational effort is taken into account when assessing accountability. When service providers do not appear to exhibit an appropriate level of effort, consumers attribute this to the service provider not caring. This in turn leads to the customer feeling more negative emotions, such as anger and frustration. Managerial implications of the study are discussed.

Keywords: *service failure; service recovery; emotion; fairness theory; counterfactual thinking; accountability; situational effort; justice theories; conduct; moral principles*

It is widely recognized that customers experience emotions, such as anger, frustration, joy, and even delight when consuming services and during service recovery attempts, and increasingly, research is being focused on emotion (see, for instance, Bagozzi, Gopinath, and Nyer 1999; Erevles 1998; Kumar and Oliver 1997). Emotions are thought to be heightened during service failure and subsequent service recovery attempts, and recently, some researchers have begun to research the impact of consumer emotions on customer evaluations of the service (see, for instance, Andreassen 1999; Hui and Tse 1996; Smith, Bolton, and Wagner 1999).

However, no study has as yet considered how customers' emotions can be altered during service recovery through direct intervention of service employees' actions. Understanding more about the consumer's emotions during service recovery and how the actions of service employees influence these emotions is of interest to service

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management researchers and practitioners including operations managers, HRM practitioners, and academics as well as marketing managers and academics. This is the case because knowing what to do and say to enhance service recovery can potentially save the respective organization millions of dollars from lost business and negative word of mouth propaganda and help organizations to design more effective service delivery processes (Tax, Brown, and Chandrashekar 1998). In an attempt to fill this gap, this article presents a fairness-based conceptual framework of the role of emotions in the service recovery process based on an extensive review of the literature and on the results of an exploratory qualitative study of the emotions expressed by customers in service failures and what could and should be done, from a customer's perspective, to recover the customer. The article is structured as follows. First, the article sets out the context briefly reviewing applications from organizational behavior research that can be applied to service recovery together with findings from service recovery research. Second, it presents a theoretical framework drawing on fairness theory particularly, counterfactual thinking, accountability, moral principles and justice theories, and other literature from social and organizational psychology, marketing, and consumer behavior. Third, the article discusses the findings of an exploratory qualitative study comprising five focus groups, and finally, conclusions are drawn and directions for future research are outlined.

BACKGROUND

In the past 20 years, considerable attention has been given to the role of emotions in the organizational behavior literature, particularly since the publication of Hochschild's (1983) book, *The Managed Heart*, and more recently Goleman's (1995) *Emotional Intelligence*. Several applications have been identified. From the employee's perspective, there is evidence that mood predicts job satisfaction (Weiss and Cropanzano 1996). There is a growing body of literature that shows that the emotion of an individual does not merely influence the particular person individually, but it can also affect others around the individual. For example, it has been demonstrated that leaders often express positive emotions to motivate their subordinates (Bass 1990; Conger and Kanungo 1998; Lewis 2000), whereas some leaders use negative emotions such as anger, a frequently occurring emotion in work settings (Fitness 2000), to influence workers' behavior.

Emotion has been acknowledged as having an important role in performance appraisals (Murphy and Cleveland 1995). For instance, a manager's emotional state toward employees has been shown to be related to his or her evaluation of their performance (Sinclair 1988; Varma,

Denisi, and Peters 1996). Of particular relevance to service recovery is recent work that has demonstrated that employees' emotions can influence customers' perceptions (Sutton and Rafaeli 1988). Customers' feelings about a product or service are very important, as they have implications for satisfaction and repeat purchase. Indeed, delighting the customer has been touted by many executives (e.g., Peters and Waterman 1982) as a requirement for loyalty, as merely satisfying the customer may leave the door open for rethinking about whether the customer should continue with the service provider or look for alternative providers. Customer delight refers to a "profoundly positive emotional experience" (Oliver, Rust, and Varki 1997) resulting from having one's expectations exceeded to a surprising degree (Rust and Oliver 2000).

Yet, it is not always possible to delight customers or even merely satisfy them. Sometimes service failures occur and customers express negative emotions and some engage in complaint behavior. These negative emotions can lead to negative outcomes for the organization, in terms of losing customers through exiting, complaints to third parties, and/or negative word-of-mouth propaganda (Hart, Heskett, and Sasser 1990). Härtel, McColl-Kennedy, and McDonald (1998) argue from an organizational mishap setting that negative emotions triggered by an organizational mishap, such as in the Johnson and Johnson's Tylenol product-tampering case, are moderated by the organization's response. This response will result in the formation of certain attributions and a revised attitude toward the organization (more positive, more negative, or no change), which in turn will influence the customer's behavior (continue patronage or discontinue patronage). In a similar vein, it is expected that consumers' emotions are likely to be moderated by the recovery strategies a firm uses in dealing with service failure.

Two extreme emotions experienced by customers, anger and delight, are expected to be of particular interest to researchers and practitioners in terms of service failure and recovery. Clearly, when customers experience dissatisfaction with a service failure, they may well express anger, be irritated and annoyed, and this will influence their evaluation of the service (Dube and Maute 1996; Hui and Tse 1996). Indeed, Andreassen (1999) found that negative emotions triggered by a service failure negatively affected customer satisfaction.

Although McCollough, Berry, and Yadav (2000) demonstrated that excellent service recovery is not as good as error-free service delivery and that inferior recovery can result in lower levels of satisfaction (Bitner, Booms, and Tetreault 1990), it is possible for organizations to recover dissatisfied customers (see, for instance, Bitner, Booms, and Mohr 1994; Hart, Heskett, and Sasser 1990; Johnston 1995; McCollough, Berry, and Yadav 2000; Smith, Bolton, and Wagner 1999) directly through their service

recovery response, provided they go about the recovery process in the right way. Moreover, if a customer complains as a result of dissatisfaction, it may be possible for the organization to establish more satisfaction and commitment from the customer if the complaint is resolved appropriately (Spreng, Harrell, and Mackoy 1995). Certainly customers have expectations of how they believe they should be treated through the process and what they could and should be given in terms of compensation (Bitner 1990; Smith and Bolton 1998; Tax, Brown, and Chandrashekar 1998).

Justice Theories

Justice theories have received special attention by service researchers (see, for instance, Smith, Bolton, and Wagner 1999; Sparks and McColl-Kennedy 1998; Tax, Brown, and Chandrashekar 1998) as a theoretical framework for service recovery procedures. Here, the idea is that customers' levels of satisfaction and their future loyalty depend upon whether the customers felt that they were treated fairly, that is, whether justice was done. Three forms of justice are generally agreed to operate. These are (a) distributive justice, (b) procedural justice, and (c) interactional justice.

Within a service recovery context, distributive justice is usually defined as what the customer receives as an outcome of the recovery process. This could be a free drink voucher for slow restaurant meal service, an apology for a delayed flight, a replacement for an incorrect meal or incorrect drink order, or waiving of room charges if the stay in the hotel was considered unsatisfactory. At a broader level, judgments of distributive justice are formed as a result of comparison with others. Thus, within a service failure and recovery context, it is assumed that the point of comparison would be with other customers. However, it is not always possible to know what another customer may have received for the same service failure. As a result, it is argued (Van den Bos, Vermunt, and Wilke 1997) that evaluating the fairness of an outcome may be quite difficult, especially when other customers' outcomes for similar scenarios are unknown. Therefore, customers may rely more on procedural and interactional justice actions in evaluating the fairness of a service recovery process.

Procedural and interactional elements of justice have been found to be of particular importance in dealing with service recovery (Clemmer 1993; Sparks and McColl-Kennedy 2001; Tax, Brown, and Chandrashekar 1998). Indeed, Folger and Cropanzano (1998) pointed out that these latter two forms of justice serve to moderate outcome fairness. That is, being treated fairly goes further than simply receiving a fair outcome. It is often how (in terms of process and interpersonal style) the outcome is received rather than what is received that seems to matter. Proce-

dural justice is concerned with the process used to resolve the problem. Elements of this form of justice include formal policies and structural considerations that may affect how an outcome is perceived. Structural considerations include process control, which has often been operationalized as having "voice" (Bies and Shapiro 1988) and, within a service failure or recovery process, is best summarized as the opportunity for an aggrieved customer to have his or her say.

Interactional justice concerns the manner in which the service problem is dealt with by service providers and the specific interactions between the service provider and the customer. Elements of this form of justice include interpersonal sensitivity, treating people with dignity and respect, or providing explanations for the events. Previous research in the services literature (Clemmer 1993; Sparks and McColl-Kennedy 2001) has demonstrated the general importance of interactional justice. Similarly, Tax, Brown, and Chandrashekar (1998) found that interactional justice is the strongest predictor of trust in a provider as well as overall satisfaction. Although the research on justice has provided some insights that help us to understand consumer evaluations of service failure and recovery, it seems that fairness theory may prove useful in extending and explaining some of the findings made to date (Folger and Cropanzano 1998). The next section reviews fairness theory as an integrative framework for thinking about service failures and recovery processes.

FAIRNESS THEORY APPROACH TO UNDERSTANDING CUSTOMER EVALUATIONS OF SERVICE FAILURE AND SERVICE RECOVERY

Central Roles of Accountability and Counterfactual Thinking

Fairness theory (Folger and Cropanzano 1998) has been proposed as a way of integrating much of the justice research. Accountability and counterfactual thinking play key roles in this approach. First, we discuss *accountability*. Fairness theory suggests that negative perceptions of fairness may arise from factors associated with procedural, interactional, and distributive justice due to the influence of accountability (Folger and Cropanzano 1998). Thus, when unfairness is perceived, an angry party (e.g., customer) seeks to determine responsibility for the offense (that is, who is to blame) and the motives and intentions of the perceived wrongdoer. Accountability, therefore, is fundamental to fairness theory as it is argued that for any injustice to have occurred, someone is to blame (Folger and Cropanzano 2001). In applying fairness theory to service failure situations, there are three core interrelated

components of accountability that need to be considered (Folger and Cropanzano 2001). First, a negative state or event occurs (e.g., a service failure or poor service recovery) that does harm to the customer (e.g., damaging self-esteem). So, at the very least, an incident exists for which some party may be held accountable. Second, in regard to the event, there will be an element of perceived volitional control over actions taken (e.g., the service provider had the option of dealing with the service failure in a variety of ways). As the service provider is perceived by the customer to have some feasible options and volitional control, it is also possible to hold the service provider accountable for actions chosen. Third, the actions taken are perceived to violate some normative or ethical standards (e.g., the service provider is perceived to be rude to the customer thus violating a norm of politeness). Therefore, the service provider can be held to account for behaving in a manner contrary to normative behaviors.

Second, we discuss *counterfactual thinking*. Simply put, counterfactual thinking is contrasting what is perceived to be with what might have been, or contrastive thinking (Roese 1997). In using counterfactual thinking, an individual may (cognitively) alter some part of an event and assess the consequence or outcome under such a situation (Roese and Olson 1995). Importantly, Folger and Cropanzano (2001) argued that counterfactual thinking will be used to assess accountability about an action (e.g., service failure or recovery events). In applying this to a service failure or recovery situation event, a customer can imagine a sequence of actions that vary from what actually took place, that is, actions that are perceived to be counter to the facts. In doing so, the customer is providing a contrastive framework about how things might have been if things had occurred differently. For instance, a bank's customer who is perceived to have been rudely treated by the teller may reflect, "If only the teller smiled and treated me politely, I'd feel so much happier." Thus, in evaluating accountability (and therefore fairness) for an event, it is proposed that a customer engages in three contrastive actions: what *could* have occurred (being served with a smile), what *should* have occurred (being treated politely), and how it *would* have felt had alternative action been taken (feeling happier).

As discussed, fairness theory proposes that following a negative event people engage in counterfactual thinking (Roese 1997), making the situation appear better or worse for themselves. Morris and Moore (2000) noted that negative events in particular are thought to produce counterfactual thinking. Counterfactual thinking occurs essentially when people compare thoughts about what could have occurred with what they perceive actually occurred (Morris and Moore 2000). That is, "Could the service provider have taken actions that would have made me

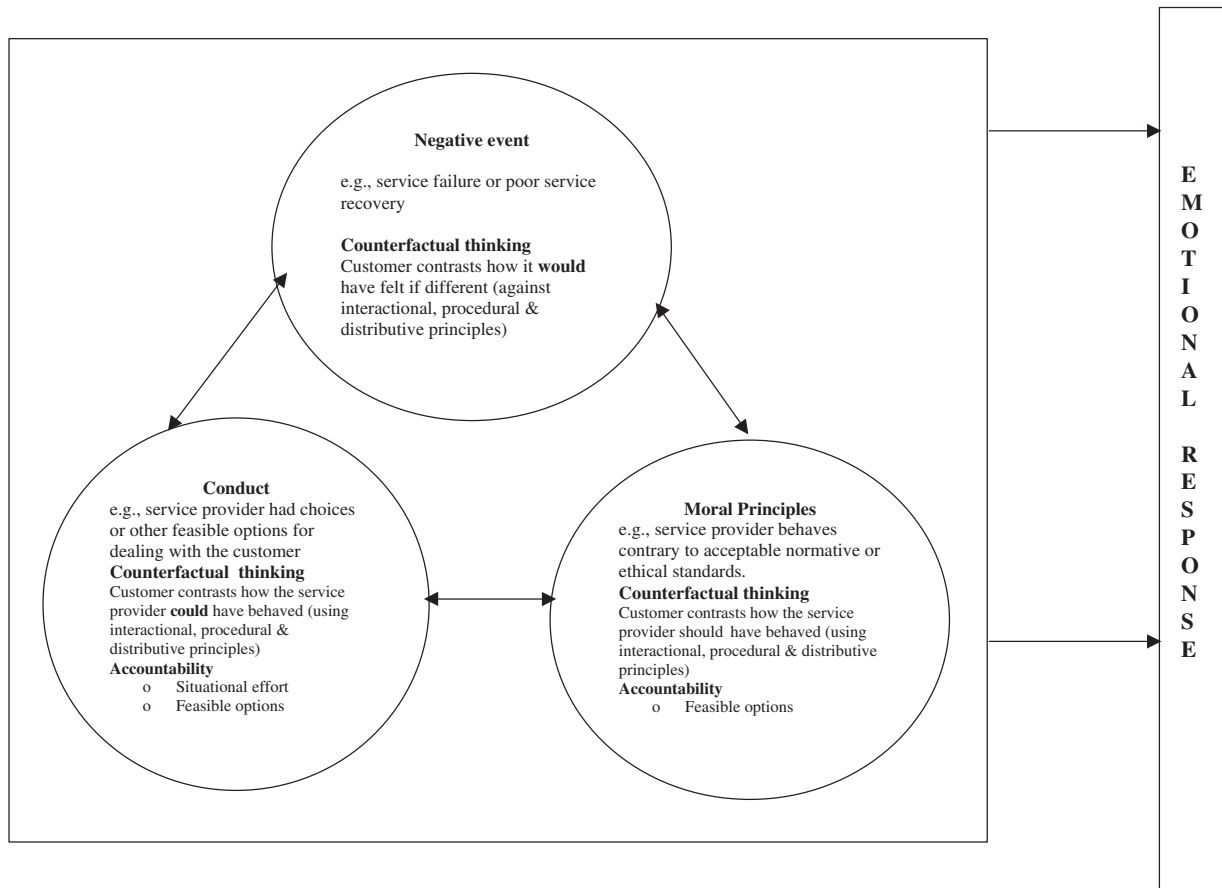
feel a lot better about the whole situation?" What were the alternatives available to the service provider? Could the provider have done x or y? If they could have done this and did not, then the customer is likely to feel angry and very dissatisfied with the recovery process. Thus, counterfactual thinking is similar to attribution in that it incorporates causal inference. But Morris and Moore (2000) contended that it is different in focus: "Attribution is an inference about how one's actual, expressed outcome was carried out, counterfactual thinking is an inference about how a counterfactual outcome could have been caused" (Morris and Moore 2000, p. 759).

Emotions

Events, particularly negative ones, are thought to produce emotions, and these have a direct effect on behavior (Weiss and Cropanzano 1996). Indeed, it has been demonstrated that events in the workplace often produce an emotional response as well as a cognitive appraisal (Härtel, McColl-Kennedy, and McDonald 1998). Similarly, service failure and recovery events have a significant impact on customers' emotional and cognitive responses (see, for example, Smith, Bolton, and Wagner 1999). The intensity of the emotional response depends on how relevant the event is to a personal goal, how important the affected goal is, and to what extent the event is inconsistent to the relevant goal. Applying this to a services recovery context, imagine the situation where a customer has the goal of enjoying a relaxing weekend at a resort hotel and the hotel room is not ready for the customer on arrival (service failure). Note that for this customer it is very important to get access to the hotel room to enjoy his or her stay and get full value for the time and money invested. The customer believes that he or she should have been able to get access to the hotel room on arrival; the customer experiences negative emotions as a result of this event. Furthermore, if the unhappy customer voices this to the service provider and still does not get access to the hotel room, then the customer is likely to experience further negative emotional responses. Thus, within a fairness theory framework, the event triggers a negative emotional response because the customer feels some harm has been done. In this example, the customer may feel that the holiday has been ruined due to the unavailability of the room, thus spoiling any opportunity of feeling good.

Expanding on fairness theory, the customer is likely to engage in some comparative thinking and contrast how it feels to be without access to the room versus the alternative scenario of a pleasant check-in with prompt allocation of a room. The customer may engage in some contrastive reasoning about the event, imagining alternative states of being. For instance, the customer may think something like

FIGURE 1
Fairness Theory–Based Model



SOURCE: Adapted from Folger and Cropanzano (2001).

this: “Had the room been ready, I would have checked in, started relaxing, and got good value for the money I invested in this holiday—in short I would have felt better.” Fairness theory predicts that an individual will consider how it *would* have felt had some other conditions occurred. This process is one set of counterfactual reasonings that can take place. Importantly, a customer may reflect on what it would have felt like had the service provider used different distributive, procedural, or interactional service recovery tactics. Thus, how the situation is handled by the service provider(s) will lead to the customer feeling the same, better, or worse than he or she was before the organizational response.

Figure 1 presents a fairness-based conceptual model adapted from Folger and Cropanzano (2001). In sum, Figure 1 shows that consumers make assessments of the service recovery attempt following a service failure (negative event) in terms of accountability and counterfactual thinking. Specifically, in making the assessment, the customer

contrasts three key elements: (a) the specific service failure or poor service recovery (*negative event*), (b) *conduct* of the service provider, and (c) *moral principles* used by the service provider, taking into account what she or he perceives with what might have been and how she or he would have felt (emotions) if different interactional, procedural, and distributive principles had been used by the service provider. Such an assessment results in an *emotional response* with the customer feeling, for instance, less angry, more angry, or roughly the same, and/or less or more frustrated or roughly the same as at the time of the service failure (negative event).

When customers experience service failures, we hypothesize that they think about what the service would have been like had it been done differently (how it would have felt). In considering what it would (might) have been like had it been conducted differently, we hypothesize that the customers frame this consideration against these questions. “How *could* the service provider have behaved (us-

ing interactional, procedural, and distributive principles)?” “How *should* the service provider have behaved (using interactional, procedural, and distributive principles)?” That is, consumers concretize the *would* by thinking up alternatives that *could* have been used (in terms of *conduct*) and by thinking up alternatives that *should* have been used (in terms of *moral principles*).

Accountability and Counterfactual Thinking of Conduct and Moral Principles

Conduct

As discussed, central to fairness theory is the notion that some party is accountable for the action or inaction of the focal event. A key to determining accountability is discretionary conduct, that is, the choice of actions taken from a range of feasible alternatives (*coulds*). Importantly, as previously discussed, in trying to determine accountability, a contrast process will be undertaken using counterfactual reasoning (that is, consumers will contrast what was done with what could have been done and assess how they would feel if the contrasted action were taken). This introduces another component of accountability that involves the aggrieved party considering a range of conduct different from that taken.

In a service failure situation, the customer will normally have some expectations about things being put right (recovered). Thus, the actions (conduct) of a service provider in a service failure situation will be important in the customer evaluating whether a feasible solution was offered. As an example, take the special case of amount of effort expended by a service provider in dealing with a service failure. Mohr and Bitner (1995) suggested that perceived effort, the amount of energy an observer believes someone has invested in a behavior, appears to be linked to the way consumers make assessments. It is not only the amount of effort per se that appears to be important but the effort expended given the circumstances. Hence, we propose the definition of situational effort as the effort put into a behavior given the particular circumstances surrounding the effort. For instance, if a service provider does not put in the effort that was within their control and a failure occurs, then blame can be attributed directly to the service provider.

Moreover, if it is easy for a customer to think of a range of alternative actions, then failure by the service provider to take one of these actions seems all the worse. For example, if a customer felt there were many ways the restaurant staff could have addressed a problem with the meal the person received but they did not use any of these options, then the customer is likely to feel that the service provider showed no or little effort, which is likely to be interpreted

negatively, such as not caring or showing respect for the customer as an individual (see Figure 1). This is likely to result in the customer experiencing anger and dissatisfaction with the recovery attempt.

Furthermore, if alternatives seem to be feasible but the service provider acted on none, then the customer is likely to experience further negative emotions and a greater sense of dissatisfaction. That is, a customer may well ponder about why he or she was not treated better. Moreover, if a customer felt that alternatives were not only feasible but very easy for the service provider to undertake, then a greater degree of negative emotion is likely to be experienced by the customer. On the other hand, if the alternatives were possible but difficult in terms of the time involved, skills required, and the contacts to be arranged, obtaining such for the customer would result in customer delight. Essentially, if a customer can easily think of alternative ways to solve the problem, it is more likely that he or she will hold the service provider or organization to blame, thus triggering more negative emotions.

Moral Principles

In addition to thinking and evaluating the range of possible actions a service provider may have taken in a service failure situation, a customer may also consider what is the most acceptable action in his or her view. That is, what should have been done (see Figure 1). Fairness theory posits that counterfactual “shoulds” lead to assessing another’s behavior in terms of the moral principles of what should have been done. Indeed, Folger and Cropanzano (2001) argued that “should” counterfactuals focus on moral or ethical principles that have been perceived to be violated. These counterfactuals can be linked to a priori customer expectations or beliefs about how service should be delivered. As Roese (1997) noted, the key determinant for counterfactual content is extant norms, which are used to return some violation back to normal. Thus, for example, where a service provider is perceived by the customer to be rude to a customer, that customer will probably invoke principles of social norms that envisage that the service provider should be polite or respectful to the customer.

In summary, as depicted in Figure 1, when a negative event occurs, consumers may invoke counterfactual thinking by considering what could have happened (conduct) in terms of interactive, procedural, and distributive justice; what should have happened (moral principles) in terms of interactive, procedural, and distributive justice; and how it would have felt had that action been taken (negative event) in terms of interactive, procedural, and distributive justice. The answers to these questions enable the customer to then assign accountability for the negative event. Importantly,

the assignation of accountability will depend upon the perceived situational effort and perceived feasibility of the counterfactuals generated given the situation at hand.

Emotional Outcomes

An important point is that counterfactual thinking is triggered by emotions that have arisen in response to a negative event. However, the counterfactual thinking process is also likely to result in an emotional outcome. It seems that counterfactual thinking will result in more negative emotions when it is easy to think of alternative actions (conduct) that could have been implemented by the organization, when it is feasible to implement alternative actions, and when other options are likely to result in a much better outcome for the customer (see Roese 1997).

Weiner (1985) claimed that if we attribute outcomes to controllable causes, then this is likely to lead to negative emotional reactions, such as anger. For instance, if a consumer feels that the service provider could have put more effort into solving the problem and did not, then the consumer will feel a negative emotion such as anger. Furthermore, Walster, Walster, and Berscheid (1978) claimed that people perceive equity in an exchange if the degree of one's input-to-output ratio is considered equal to the other person's input-to-output ratio. In a consumer-service provider setting, if a customer has paid a considerable amount of money and a booking has not been made (service failure) and the service provider makes little effort to remedy the problem, then the customer is likely to feel that the input-to-output ratio is less than equal to theirs and hence perceive this to be unjust.

Furthermore, when customers are in a positive emotional state, they tend to evaluate products more positively than if they were in a negative emotional state (Isen 1987), and when they are in a negative emotional state, they are likely to be more critical in their thinking than if they were in a neutral or positive emotional state. Forgas (1994) suggested that when individuals are experiencing high levels of emotions, they will be likely to engage in detailed, systematic, and complex judgmental processes. Thus, it is expected that customers who have had negative emotions triggered will engage in critical and counterfactual thinking. This is expected to be the case after service failure events as negative emotions are likely to have been triggered.

EXPLORATORY STUDY

This research involved a qualitative study with customers in the hospitality and tourism industry to determine the

role of customer emotions in the service failure and recovery process and to undertake an initial test of the theoretical framework. A qualitative study was considered the most appropriate method to gain rich insight into the customers' feelings and perceptions.

Tourism failures may be a special case, as these services tend to be consumed infrequently such as once or twice a year compared to everyday services such as banking, visiting a regular lunchtime restaurant, or going to the dry cleaners or the movies. Moreover, in some instances, customers may never return to the same resort or restaurant even though the service was great and the recovery excellent. Yet, some like to revisit the same resort, hotel, restaurant, and airline time and time again. It is likely that whether or not they personally return they will tell their friends and acquaintances of their experiences. Furthermore, many hotels, resorts, restaurants, and airlines are part of chains or alliances, and so the service recovery experiences may well affect related services.

Participants

Five focus groups were conducted with a purposeful sample of 32 drawn from general staff, faculty, and postgraduate students at two large, public Australian universities. Inclusion in the focus groups was based on recent (within the past 12 months) personal experience with some aspect of the tourism industry. There were 24 female and 8 male focus group participants. Participation in the focus group was voluntary.

Materials and Procedure

The semistructured focus groups were conducted over a period of around 2 weeks. The focus groups lasting between 40 and 90 minutes were audiotaped. Complete anonymity was assured. Prior to the commencement of each focus group, the group facilitator explained, in broad terms, the research objectives and the format of the focus group. Participants were then asked to describe the service failures and recovery process that they had personally experienced as either a domestic or international tourist. For each service failure incident and recovery attempt described, a series of questions guided the discussion, including questions regarding how they felt at the time of the failure, and during and after the subsequent service recovery attempts. The questions were aimed at tapping into the emotions experienced, the fairness theory dimensions (coulds, shoulds, and woulds), counterfactual thinking by participants, and their assessments and how they came to these views.

TABLE 1
Service Failures Identified by Customers

<i>Category 1: Service</i>	
Unavailable service (Wrong product)	Examples didn't get business class seat overcooked/undercooked meal meal too cold rat in room didn't get drinks overbooked (seats on plane) no jet skis, despite a booking had to pay more than expected having to pay extra for parking
(Wrong price)	
Unreasonably slow service (Waiting too long)	room not ready wait on meal delivery
<i>Category 2: Service Providers</i>	
Unprompted and unsolicited employee actions (Truly out-of-the-ordinary employee behavior)	Examples Humor offensive humor/jokes rudeness other actions (e.g., things said, tone of voice) employee had an off-day
<i>Category 3: Outside the service provider's control</i>	
	Examples wet weather power cut delayed flight
<i>Category 4: Customer related</i>	
	Examples sick/heart attack too short for theme park ride guest injures himself/herself guest arrives early guest loses wallet credit card declined want automobile for another day but didn't book it forgot to bring something missed bus tired accidents (automobile rental)

RESULTS

Range of Service Failures

As expected, service failures ranged from those resulting directly from the service provider's actions to the customers themselves. A range of failures were identified by the customers and included such things as hotel rooms not being ready when guests arrived at the hotel for check in, meals being served too cold or too slow, food not being

cooked properly, inappropriate actions of service providers, and uncontrollable environmental factors such as inclement weather. As shown in Table 1, the failures can be classified into four broad categories adapted from Bitner, Booms, and Mohr's (1994) categorization. Category 1 includes problems associated with the *service product* itself such as the service being unavailable (e.g., the food being over or undercooked, not getting things that were booked, jet skis not being available at a resort, not getting drinks that were ordered, not getting a particular

TABLE 2
Customers Counterfactual Thinking Examples for Justice Dimensions

<i>Justice Dimensions</i>	<i>Service Recovery Tactics</i>	<i>Illustrative Examples of Counterfactual Thinking</i>
Distributive justice	Replacement	“What they could’ve done was so simple, it could’ve been just to go into the kitchen and get me some decent food.” “They should’ve done something; I cannot imagine that a restaurant of that reputation and size would not have something vegetarian.” “They should have upgraded me straight away without putting me through all that ordeal.” “They could have said, here’s a complimentary dessert or bottle of wine or something or you won’t have to pay for those meals. Even if they had said ‘sorry, there won’t be any charge.’”
	Apology	“She could’ve probably apologized for taking down the wrong order.” “There should have been at least a letter of apology that said ‘sorry you were stuck in the transit lounge for 24 hours.’” “Even if it was just a letter of apology or something, you know, something like that would have made me feel better about it.”
Procedural justice	Responsibility	“The obvious option would’ve been to say that he’d messed up.” “What they could have done . . . the responsibility thing is huge . . . if someone says ‘Look you’re right, we screwed up,’ that to me takes half the problem away; that takes all the stress and you go ‘Okay, I don’t have to fight with you to get something.’”
	Supervisor intervention	“He could’ve come along and done the serving on that particular pan.” “Because I visualize . . . that [the maitre’ d] should be the person who steps in.”
Interactional justice	Showing care	“She could’ve been more sensitive.” “He should’ve been a little bit more empathetic, a little bit more understanding.” “If they were really nice to me, I wouldn’t have cared . . . I wouldn’t have cared if he told me it was going to take three days [to deliver lost baggage].”
	Explanation	“We should have been better informed.”

type of room that was ordered). Category 2 includes problems with *service providers* such as unsolicited responses (e.g., a service provider telling a guest that they need to tuck their shirt in or that they cannot use that room or that the customer felt that the service provider spoke in a rude way). Category 3 includes things *outside the service provider’s control*, such as the weather (e.g., it rained and the show was cancelled, or that they could not go to the beach now as it was raining), a bomb scare, or a power cut. Category 4 includes *customer-related* problems, such as the customer being ill, feeling tired, injuring himself or herself, having an automobile accident, or having his or her credit card declined.

Counterfactual Thinking

Customers were asked to describe their experiences and discuss possible actions that the firm could have used to deal with the service failure. The results clearly illustrated the customers’ use of counterfactual thinking when making an assessment of the service failure and attempted recovery process, and this was linked to their emotional responses. Customers accepted that things can go wrong and do go wrong in the provision of services, but the important thing for them was the service provider endeavors to do something about the problem and attempts to resolve the problem. As one respondent put it,

I don’t think there’s anything wrong with things going wrong, but I mean that’s what life’s about, but you’re absolutely right, it’s whenever they try and go out of their way to bring you champagne and so on, that, you know, okay fine, ——— happens, life goes on, it’s all fun anyway. (Focus Group 2, Participant 7)

As part of the content analysis, the transcripts containing references to counterfactual thinking were classified as representative of various dimensions of justice (interactional, procedural, and distributive). Table 2 illustrates that the customers’ counterfactual thinking both in terms of conduct (could) and moral principles (should) ranged from the very simple things such as going to the kitchen and replacing a meal or giving an apology (distributive), to taking responsibility (procedural) and demonstrating that the service provider genuinely cared (interactional justice).

Accountability

A key factor in the assignment of accountability is the assessment of the intention of the service provider. For instance, did the person intend to be helpful, rude, generous, flexible, or fair? Whether to hold a service provider accountable for the service failure and the actions taken to

remedy the failure will, to some degree, depend upon an assessment of whether there were other feasible alternative options available. That is, what discretionary control did the service provider have, or did the service provider intend to treat the customer in that manner. In making this assessment, it is likely that an evaluation of the amount of effort becomes important. This was clearly borne out in the focus groups.

For example, one respondent expressed it as follows:

It's easy to argue with someone if they're being stand-offish, but if they're really trying to help you and are sympathetic to your problem, and they explain the situation, not making excuses, the reason this happened is because. . . . You know, we found it, say sorry . . . it's very hard to turn around to a person who is that helpful. (Focus Group 3, Participant 2)

Another example, from a respondent who wanted to upgrade to business class and pay for the upgrade said,

They still wouldn't upgrade me to Business Class whereas other airlines did. I have had an experience like this in the past with—— who upgraded me to Business Class without having to pay anything because of the delay. They —— could have done it. There was nobody in Business Class. It was empty. (Focus Group 5, Participant 1)

Another respondent explained,

The flight was delayed two hours. All they did to compensate you was for you to show your ticket to the café there and get tea and cake. That was OK if you were on your own, but when you have got two kids crying and complaining they can't get on the plane in time and they see a plane go by. It really wasn't much service at all. They could have offered you more than just tea and cake. Maybe something like the —— Lounge to make it more pleasant. (Focus Group 5, Participant 3)

Emotion

If something appears to be easy to fix, such as going and replacing an undercooked or overcooked meal, or giving a guest an extra towel, and the service provider makes no attempt to do something to rectify the problem, then the customer is likely to experience negative emotions, such as anger and frustration, as clearly expressed below:

So the more easy it is to fix the situation, I think it's easy to let ourselves get angry; the more difficult it is, perhaps, you know, we pull back with the anger and other emotions. (Focus Group 2, Participant 2)

And as another respondent put it,

Well, being angry, yes, because when I thought that what they could've done was so simple, it could've been just to go into the kitchen and get me some decent food. That made me more angry, because it was so easy, it would've been so easy to make it right. (Focus Group 2, Participant 2)

One respondent put it like this:

Once we got split up on a long haul flight. We traveled to Sydney and then in Sydney we didn't have seats together any more. I felt devastated. I had 20 hours plus squashed between total strangers. They could have put us together. I had the seats booked through a travel agent but not on the ticket. (Focus Group 5, Participant 1)

And another said,

They should have informed me. They didn't tell me what was going on. They didn't tell me they were upgrading me. I was happy with it. It took a lot of the anger and frustration I'd had away. (Focus Group 1, Participant 1)

Situational Effort—Accountability

Other service marketing literature has shown the importance of effort in service recovery processes (Sparks and Callan 1996; Tax, Brown, and Chandrashekar 1998). Similarly, fairness theory proposes that intensity of effort observed provides an opportunity to measure intention. What appears to be emerging here is situational effort, that is, effort put into the customer's particular situation. Not effort per se, but putting in effort appropriate to the particular situation at hand and customizing the response. Situational effort is clearly demonstrated in the following examples from the focus groups.

As one respondent recalled:

I had three small children. The aircraft wasn't full but the steward devoted his time to helping me with the children. He didn't have to do that. I have flown with —— ever since because I found their staff very friendly and very helpful. (Focus Group 5, Participant 3)

But what is really important is for people to go out of their way and be a little conscious and help you, but if they say no, that's not my job, I can't help you, that just makes you want to punch them . . . if an effort is made, then that makes it all okay, for some magical reason. (Focus Group 2, Participant 7)

And again as this respondent put it,

What frustrates me in situations when things go wrong is that people who could or are responsible for things going wrong don't admit that and don't try to do anything about it. And they're not flexible enough to bend the rules, and go around the rules. . . . If there are simple solutions, then we seem to be less tolerant, because we know it's a simple solution, and they should've done something. If it's a really difficult problem, like if the bus explodes or is hijacked, you don't really say well, they should've come in to help. So the more easy it is to fix the situation, I think it's easy to let ourselves get angry; the more difficult it is, perhaps, you know we pull back with the anger and other emotions. (Focus Group 2, Participant 2)

I think the personal part of it, being like a *person* coming out and saying "look, you know, we tried to get a part from so and so and we haven't got it, so therefore there is going to be a further delay," not [makes the sound of the airport intercom attention signal saying that the flight has been delayed]. (Focus Group 1, Participant 1)

I think if you put yourself in that situation, put yourself on the other side of the fence . . . I'd certainly go in, and if I were the waitress, I'd go in and talk to them myself, you know look, the lady is asking for a different meal, what can you do? (Focus Group 2, Participant 6)

I thought it was going to be a lot easier, and just knowing that everyone's usually friendlier here, she was just so ho hum, and I thought maybe she'd say okay we can do this, or let me find out, or let me get the other guy (Focus Group 3, Participant 1)

She could have communicated with the kitchen a little better, in saying, these people are in a hurry, what can we do, can we bring some of the meals out quicker rather than waiting for all three, or come back to us and say the kitchen has had a problem with your meals, and then we could've decided to have the meals or not (Focus Group 3, Participant 3)

What seems evident from the comments made is that in appraising service recovery events, customers place a strong emphasis on whether the service provider tried to help them in the situation and under what circumstances this was done. Furthermore, the customer delight appears to be clearly related to the situational effort that is put into the recovery process. Delight appears to occur when the service provider tries to think of alternative ways to fix the problem (thinking of the coulds), puts effort into the recovery, and recovery is relatively difficult. Correspondingly, if a service provider does not put effort into thinking about solutions in the first instance and then putting some effort into solving the problem and it appears feasible and not

difficult to the customer, then the customer is very dissatisfied and angry. One respondent put it like this:

I was staying at ——— resort . . . I had really, really long hair, and in the room for two people, there were only two towels. Because I was swimming all the time, the towel was just absolutely soaked. Even after a shower in the morning I'd sort of think "gee I'd like an extra towel" and I happened to bump into some sort of manager of the hotel who was going around saying to people "and how are you enjoying your stay" and that kind of stuff. I said "Oh, I would just love an extra towel in my room," and he said "Oh OK," and he wrote it down and put it in his pocket. And I'm thinking, "isn't this great, I'm going to get an extra towel," but I never did, so he obviously forgot, and if I had got the extra towel, I would have thought that that was just the best service. I would have been totally thrilled with that hotel forever, but I didn't. And . . . he asked me "how we can make it better," and I told him about the extra towel and he wrote it down but still I didn't get the extra towel. And it was only a really little thing, but it was a really good example of when the service failed, and they could have recovered really well and really won a fan. (Focus Group 1, Participant 3)

And another respondent felt,

I made a comment, "Gee, we were here two nights ago and the service was really bad." And he didn't really say anything, which was really good, there's nothing worse than one employee bitching about another: "Gee, she's really bad, or she's got the sack now." He didn't say too much, he acknowledged the problem, and when we got the bill, there was no food on the bill, only beverages. So the recovery was great, he'd knocked all the food off the bill and only charged us for our drinks. And that was the best thing that he could've done. (Focus Group 3, Participant 3)

The following illustration of "wow" was certainly achieved through expending effort.

My husband and I need to travel quite a lot and we always stay in the same hotel, yet we never travel at the same time. One time my husband was there and something happened and they booked him to my credit card because they have my details. So I get a statement which says that I stayed in Sydney two nights when I hadn't left Brisbane. I complained and they absolutely bent over backwards. They offered free meals, flowers in the room, bottles of champagne, everything just to make up for it. I thought, WOW! (Focus Group 4, Participant 1)

FIGURE 2
Consumer Model of Appraisal of Service Failure/Recovery Events

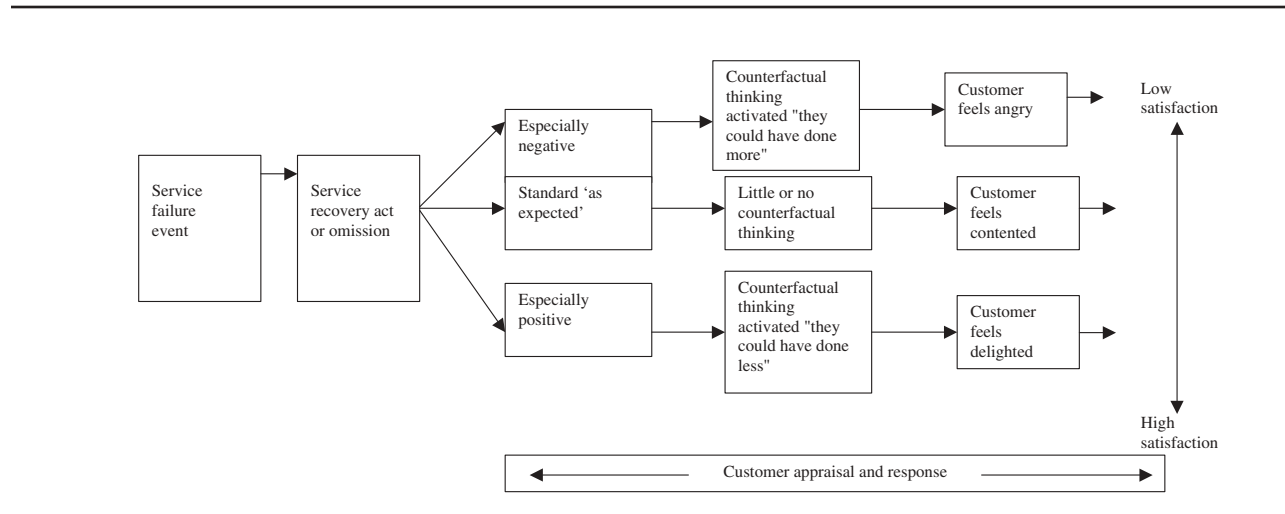


Figure 2 summarizes customer responses to service provider attempts at recovery. This figure was developed from the literature and the results of the five focus groups. Specifically, it provides examples of how customers are likely to respond: (a) cognitively through counterfactual thinking and (b) emotionally (for instance, feels angry, contented, delighted) given the particular combinations of responses from the organization.

CONCLUSION

This study has applied fairness theory, specifically, counterfactual thinking and accountability to service failure and recovery. In an effort to further understand customer responses to service failures and recovery, this article has (a) presented a theoretical framework for studying and managing service recovery and (b) provided demonstrated support for the conceptual framework through the results of the five focus groups. A number of conclusions can thus be drawn. First, service failures can be triggered by events from a range of sources, including the following four major areas: (a) problems with the service itself, (b) problems associated with the service provider, (c) problems outside the service provider's control, and (d) problems related to the customer.

Second, there is clear evidence from the focus groups to support the conceptual model (Figure 1) that when customers experience a negative event (service failure), they commence an assessment of the situation, making attributions as to whether the service provider *could* (in terms of *conduct*) and *should* (in terms of *moral principles*) have done something more to remedy the situation. It is important to stress that this assessment takes into account the

specific situation in which the consumers find themselves and the amount of effort expended. Furthermore, they make an assessment of how they *would* have felt had the service provider done something differently. As shown in Figure 1, the consumer assesses how he or she was treated by the service provider and how *difficult* it was for the service provider and how *feasible* the alternatives were, lending support to the theoretical framework. Indeed, in terms of justice theory, the focus groups demonstrated that consumers make assessments not only regarding the outcome (distributive justice) but also of the process (procedural justice) and the interactions with the service provider (interactional justice). Again, this supports the theoretical framework (Figure 1).

Furthermore, there was also strong evidence of fairness theory being employed in the consumers' evaluations with consumers using counterfactual thinking and accountability. Considerable evidence was provided in the focus groups of consumers asking the key questions: "Could the service provider have taken actions that could have made me feel a lot better from the feasible alternatives?" "What should have happened?" and "What would I have felt if that action had been taken?" Clearly, if consumers felt that the service provider could have done more to help them in the particular situation (and feasible options were available) and did not, then they assessed this negatively and experienced more intense negative emotions such as more frustration and/or anger as depicted in Figure 2. Correspondingly, if consumers felt that the service provider was doing all they could to help them and the problem was out of the service provider's control (judged uncontrollable and not feasible), they experienced more positive emotions such as satisfaction and delight (Figure 2).

The results of the focus groups suggest that situational effort is linked to accountability and emotional outcomes. Specifically, when service providers did not appear to put effort into the service recovery attempts and feasible alternatives could be thought of, then this was viewed negatively (that is, not caring for the customer), and this led to the customer experiencing negative emotions such as anger and frustration and dissatisfaction with the service recovery attempt. In contrast, it was found that customers experienced very positive feelings, which were often expressed as "Wow" (delight). (See Figure 2.) Past research (Tyler, Degoe, and Smith 1996) has demonstrated that justice can signal messages of the degree to which an individual is valued and treated respectfully. In our study, this seems to be the case; as perceptions of effort increase, so does positive self-identity as a "valued customer." From a fairness theory perspective, a central moral standard (that is, what should happen) for excellent service recovery is evidence of effort or trying hard to solve a service failure and even doing a little more to delight them.

Managerial Implications

This article offers managers a fresh perspective for thinking about customer responses to service failures and how to manage these responses. In doing so, an attempt has been made to identify what the key components of justice are and to better understand why justice matters. This investigation has shown that customers do think about service interactions and assign accountability for action taken. Our research demonstrates that service providers can influence customer feelings and can, through their specific actions, modify customer emotions. Indeed, service providers can turn negative customer emotions into positive emotions and negative emotions into greater negative emotions. What appears to be critical is that service providers take careful note of the specific circumstances in which customers find themselves. If customers perceive that service providers could do something more to solve the problem (that is, there were feasible alternatives) and they do not take this action, then customers are likely to experience further negative emotions and to interpret the service provider's lack of effort as not caring about them.

Several key managerial implications emerge. The first of these arises from the realization that, to manage service failure situations, service organizations need to have knowledge of the range of solutions that are (a) possible, (b) practical, (c) fair, and (d) understood by customers to be all three of these things. To enhance their awareness, managers should consider undertaking customer solution workshops, where they arrange for focus groups to be conducted with the aim of customers generating solutions to a range of service failures relevant to the specific organization. In such workshops, frontline staff could observe

groups of customers discussing service failure scenarios to gain a better appreciation of the customers' perceptions of the range and meaning of feasible solutions for customers. The outcome of these workshops should include greater awareness of, and empathy for, the customer's perspective on service failure. Where there is a gap between what customers want to happen and what service providers actually do, there is a role for better human resource management of staff at the frontline. Perhaps the workshops will suggest that more emphasis needs to be placed on interpersonal skills at the selection, training, and performance management phases of staff supervision. Perhaps staff need training in perspective taking (thinking from the customer's perspective) and/or thinking more laterally about feasible options that they haven't considered in the past.

A second implication follows from the above. The research provides evidence that customer discontent can be moderated if customers can understand that the action taken to recover a failure was the only feasible option possible. Customers want to understand why things go wrong and why specific countermeasures were taken. There appears to be a need, in many service organizations, to train staff in the art of providing explanations. This will include developing quite subtle communication skills to ensure that explanations are not turned into excuses. A manager could also provide explanations in advance where service problems are anticipated. For instance, in some services delays may be expected and customer dissatisfaction may be lessened if information is provided so that customers have an understanding of why a delay occurs. As an example, a restaurant might state on menus that a particular dish (e.g., soufflé) takes 20 minutes to cook. Or if service provision is likely to be slow in a bank due to a shortage of staff, a sign stating the following could be installed: "Due to illness we are short staffed today and apologize in advance for time delays in service."

Third, a key theme to emerge from this research is the importance of the service provider demonstrating effort. It seems that perceived effort plays an important role in mediating the relationship between service failure and customer reactions. This may be because a lack of effort is perceived to violate widely held moral standards or beliefs such as "the customer is always right," "customers are valued," or "customers should be treated with respect." Fairness theory explains this by suggesting that elements of interactional justice, such as effort, can easily be assigned accountability. That is, given that it is relatively easy to know whether someone has tried to solve the service failure, a customer can, with relative confidence, assign blame to a service provider for not trying to solve the problem. An important lesson for organizations is that customer perception of the effort invested by service providers in the enactment of service failure/recovery guidelines and policies is critical. Other research (Sirdeshmukh, Singh, and

Sabol 2002) found the problem-solving skills of frontline staff significantly affects the trust judgments customers form of service providers. Our research suggests that when a service provider demonstrates effort in solving a service failure, it may well produce a "halo" effect for other justice dimensions, such as fairness of procedures or outcomes. It follows that managerial attention to the training of service personnel in effective displays of problem-solving effort may be warranted. Training in simple customer-friendly service recovery statements like "we want to assist in resolving this problem" or "let me try and find a solution for you" would assist in customers feeling that some effort was being made about the recovery of the problem.

Fourth, the findings also draw attention to several moral principles (shoulds) that service organizations need to be cognizant of. Many of these may seem standard (e.g., service providers should apologize, should be more empathic, should take responsibility) and, indeed, are frequently recommended in journals or popular business magazines. However, our evidence demonstrates that many organizations are either not sufficiently aware or are not consistently enacting these principles. Managers and frontline staff might improve customer satisfaction ratings by revisiting the basic moral or ethical tenets of quality service provision. For instance, what is normative in terms of distributive, procedural, and interactional justice? Does this vary by customer segment? Although managers no doubt have some ideas about these matters, it seems from our research that a further systematic investigation of what constitutes normative behavior in service failure management may well provide some incremental improvements for service recovery.

In summary, our results suggest managers need to better understand how customers think about the service problems they experience. Clearly, they compare what they perceive the service provider did with what they could have done and assign accountability for the actions (conduct). Running "customer solution workshops" would help service staff better articulate these processes. In particular, customer assessments of service failures suggest that interactional fairness options (what could and should have been done) determined the level of responsibility assigned to the service organization for the outcome received. Our results also have implications for training frontline staff in customer perceptions of the coulds and shoulds of effective service recovery.

Limitations and Further Research Directions

We have sought to provide a theoretical framework that places counterfactual thinking and accountability (fairness theory) at the center of the model and have presented preliminary evidence from the results of the five focus

groups to further support the framework being applicable to service recovery. Although providing rich data, focus groups have limitations. In particular, focus group participants are unlikely to be representative of the general population and findings are open to subjective interpretation (Burns and Bush 2000). Different methods should be used to confirm and extend this research. A survey could replicate many of the findings and increase generalizability. Larger samples and different service settings could be employed. Developing scenarios that take into account (a) different types of service failure events, (b) discrete counterfactual thinking (that is, could, should, and would), and (c) discrete emotional responses, (such as frustration, anger, joy, and delight) would seem appropriate. The role of attributions deserves more attention. For example, research that addresses service failures that are attributed to uncontrollable causes, such as consumers' action or tornadoes or other catastrophic events, is warranted.

We have suggested that situational effort has several components, effort related to the circumstances at hand and whether it is feasible or not feasible and whether alternatives are difficult/easy to achieve. We believe that this would be a fruitful area for future research as no study to date has measured and tested a scale for situational effort.

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